



Glycerine (Asia-Pacific)

By Helen Yan
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Please click [here](#) for full details on the criteria ICIS uses in making these price assessments.

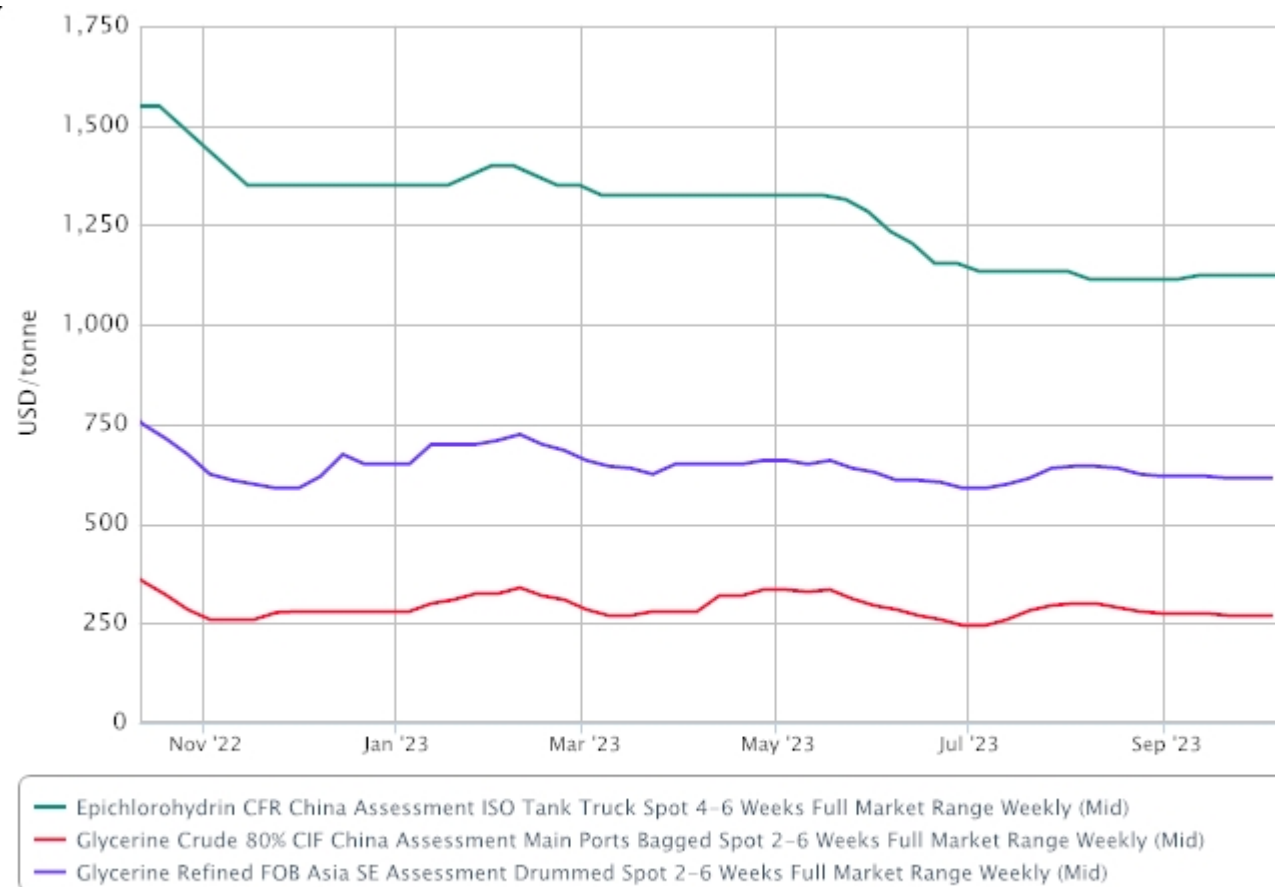
OVERVIEW

- **Downward price pressure from weak Chinese bids**
- **Buyers cautious amid sluggish downstream ECH**
- **Supply largely balanced**

Asia glycerine market faced headwinds as Chinese market returned from their week-long holidays in early October with a fall in domestic market. The Chinese market was shut 29 September to 7 October for the mid-autumn and National Day holidays.

Relatively high inventory in China exerted pressure on buying decisions. The lacklustre epoxy resin industry and sharply lower epichlorohydrin (ECH) market in China post-holidays added to the challenges on spot price.

Spot deals for crude glycerine remained on par with the previous week, while offers for refined glycerine fell this week amid poor buying interest.



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OUTLOOK

- Overall demand likely to remain sluggish till end of the year
- Spot trades would gain pace with lower offer
- Weak product price/margin may cause producers to reduce run

PRICES

SPOT PRICES

			Price Range		Four Weeks Ago	US CTS/lb
Glycerine Crude 80%						
CIF China Main Ports Bagged	USD/tonne	n/c	260-280	n/c	270-280	11.79-12.70
Glycerine Refined						
CFR NE Asia Drummed	USD/tonne	-20	600-650	n/c	630-650	27.22-29.48
CFR China Drummed	USD/tonne	-20	600-650	n/c	630-650	27.22-29.48
FOB SE Asia Drummed	USD/tonne	-20	580-630	n/c	610-630	26.31-28.58

Refined glycerine

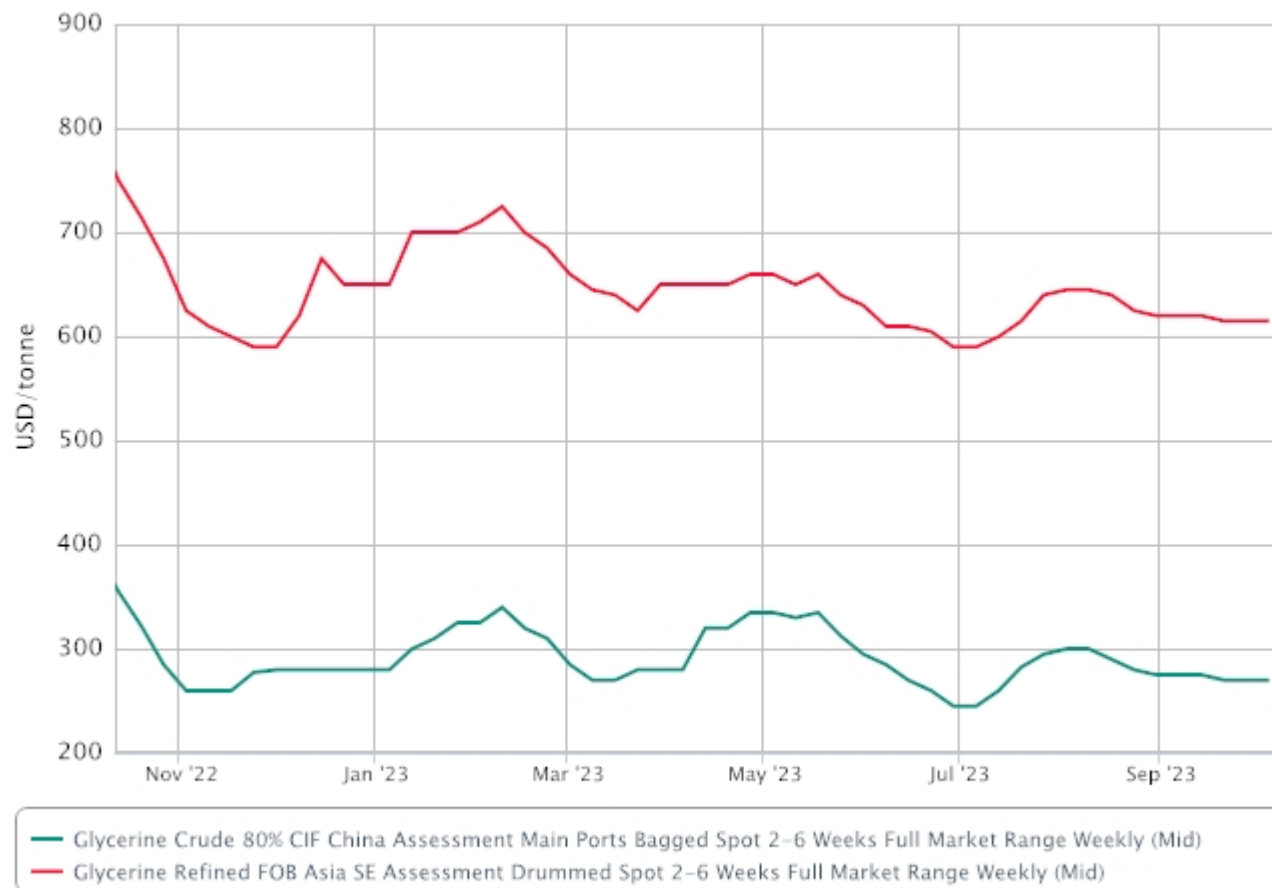
Spot prices were stable to softer, reflecting offers and bids in the absence of deals. Spot buying was sluggish as restocking for October has completed.

The early week offers progressively softened in \$620-650/tonne range, against buyers at \$600/tonne CFR China drummed. In the later-week, offers further reduced to \$600/tonne while bid further fell to \$580/tonne. The bid was excluded as it was deemed not representative of the market.

On an FOB basis, offers were stable to lower. Price assessment was adjusted in line with offers and movements in the Chinese market.

The downstream ECH market fell after China holidays and weighed on Chinese demand for glycerine imports.

On the supply front, SE Asian producers had little inventory pressure to sell. Some biodiesel producers were heard to have reduced runs amid higher feedstock cost and low profit margin.



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Crude glycerine

Spot price were unchanged reflecting deals and discussions.

Demand was stable to softer from China's refiners amid poor refined glycerine market. Refiners were heard to reduce operating rates.

Supply was largely in balance, with selling interest from South American producers lowered due to better margin for local refiner buyers and fluctuations in the exchange rate.

Deals were concluded at \$270-275/tonne CIF China for November. Selling indications stood at \$280/tonne, while buying indications stood at \$250-260/tonne.

A bid for southeast Asia cargoes stood at \$285/tonne but was not accepted, while the selling indications remained around the last traded level of \$300/tonne CIF China.

Product from Brazil or Latin America is typically priced lower than product from southeast Asia because it is subject to a 6% import duty and is of a lower 80% purity level.

Furthermore, it takes 5-8 weeks to ship product from Brazil to China.

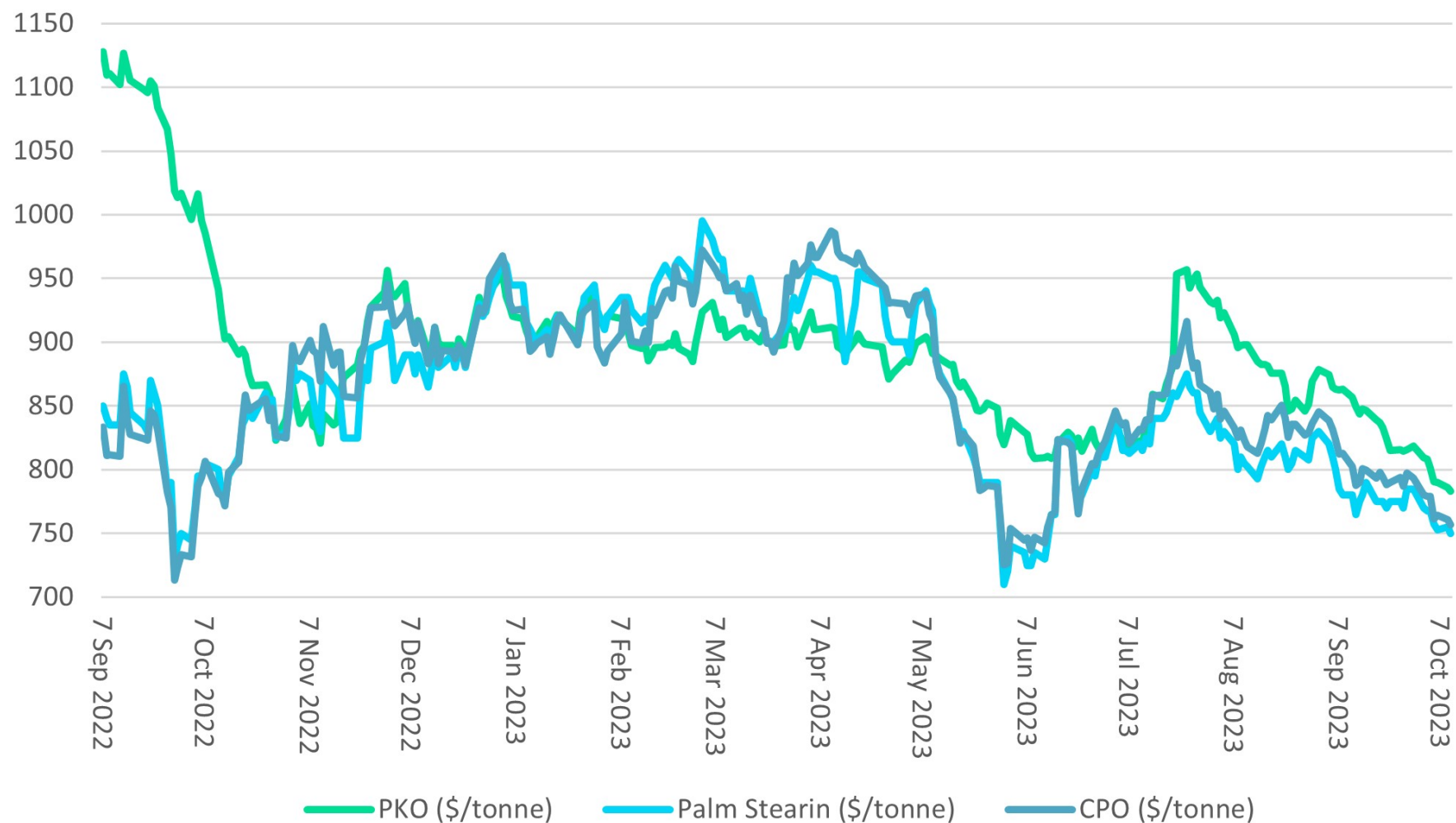
Crude glycerine from southeast Asia is typically at a higher 85% purity level. Its duty-free status and quick delivery time of about a week allows it to command a premium.

Product from southeast Asia is also not subject to import duty because of the free trade agreement (FTA) between the Association of Southeast Asian Nations (ASEAN) and China.

Discussions and trades of southeast Asia-origin product sold into China were not taken into consideration in the assessment.

UPSTREAM

CPO vs PKO vs Palm Stearin Prices



Product	Delivery	10-Oct	3-Oct
CPO	DEL, south Malaysia (M\$)	3,580.00	3,680.00
PKO	DEL, south Malaysia (\$)	783.03	808.36
Palm Olein	FOB, Malaysia (\$)	795.00	825.00

Palm Stearin	FOB, Malaysia (\$)	750.00	767.50
PFAD	FOB, Malaysia (\$)	750.00	762.50
All prices are on a per tonne basis.			
Source: Matthes & Porton			

Covering editor: **Keven Zhang**

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